

Done !



UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Advanced Level

ECONOMICS

Paper 3 Multiple Choice (Supplement)

9708/32

October/November 2010

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.
Do not use staples, paper clips, highlighters, glue or correction fluid.
Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
Any rough working should be done in this booklet.

Zarale Mushtaq

Solved with reasons

Send it !

This document consists of **12** printed pages.



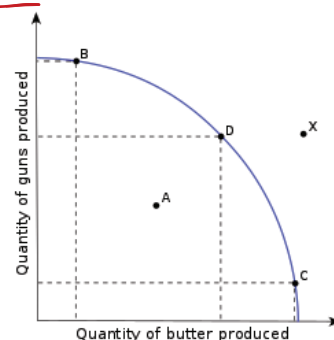
2 concept of opportunity cost

- 1 In an economy no one can be made better off without making others worse off.

What can be concluded from this?

(perfect world)

- A All markets are perfectly competitive.
 B There are no externalities.
 ✓ C The economy is operating on its production possibility curve.
 (Mauw) D The distribution of income reflects what each individual deserves.



- 2 The schedule shows the total utility derived by a consumer of a good X at different levels of consumption.

quantity of X consumed	1	2	3	4	5	6	7
total utility (units)	30	50	65	75	80	83	84

MU

30

20

15

10

5

3

1

\$1 : 3 units

\$5 : x

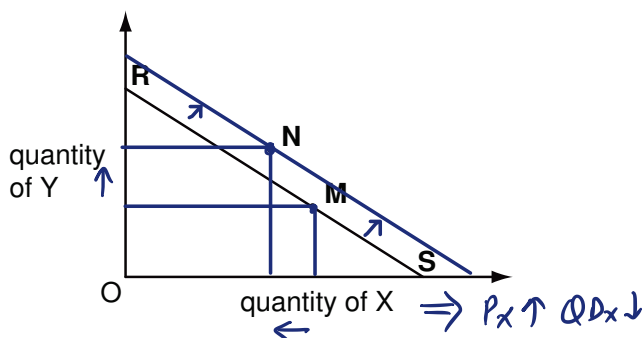
x = 15 units

The consumer obtains three units of utility from the last \$ she spends on each good that she purchases.

What is the maximum number of units of X that she will consume if the price of X is \$5?

- ✓ A 3 B 4 C 5 D 6

- 3 The line **RS** in the diagram shows the different combinations of goods X and Y that a consumer can afford with his present income.



The consumer's original equilibrium is at **M**.

What could explain a change in his equilibrium position to **N**?

- A a change in his tastes
 B a decrease in the price of X and a bigger percentage increase in the price of Y
 ✓ C an increase in the price of X and an increase in his income
 D equal percentage increases in his income and in both prices

Qty ↓ of both goods but diagram shows rise in Qty of good Y

- 4 A firm in a perfectly competitive industry employs two factors of production, X and Y.

The table shows the factor price and the current marginal physical product of these two factors.

	factor X	factor Y
factor price/wage	\$2.50	\$6.00
marginal physical product	2	8

$$MRP = MPP \times MR$$

$$MR = \text{price}$$

$$[MRP = MC_L]$$

$$MC_L = \text{wage}$$

If the firm sells its product for \$1 and aims to maximise profits, what should it do?

- A employ less of both X and Y
~~B~~ employ less of X and more of Y
 C employ more of both X and Y
 D employ more of X and less of Y

$$MRP = 2 \times 1 = 2$$

$$MC_L = 2.5$$

$$2.5 > 2$$

$$MC_L > MRP$$

Factor X, Less!

$$MRP = 8 \times 1 = 8$$

$$MC_L = 6$$

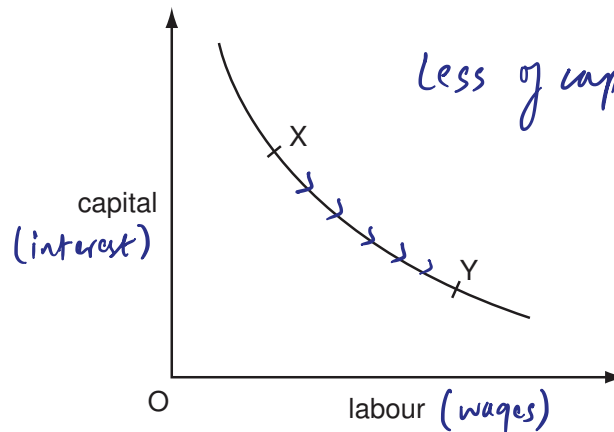
$$MRP > MC_L$$

$$8 > 6$$

Factor Y, more!

- 5 In the diagram, the curve shows the various combinations of labour and capital that can be employed to produce a given level of output.

A firm chooses the combination of labour and capital shown by point X on the curve.



Less of capital, more of Labour

What could explain why the firm later chooses the combination of labour and capital shown by point Y?

- A an increase in capital productivity (Y to X)
~~B~~ an increase in interest rates, cost of borrowing ↑
 C an increase in labour productivity = $\frac{\text{Total output}}{\text{No. of Labour}}$
 D an increase in wage rates (Y to X)

- 6 To increase its labour force from 100 to 101 workers, a firm has to increase the daily wage rate from \$300 to \$302.

$$TC_{101} - TC_{100} = MC_L$$

What is the marginal cost of labour per day?

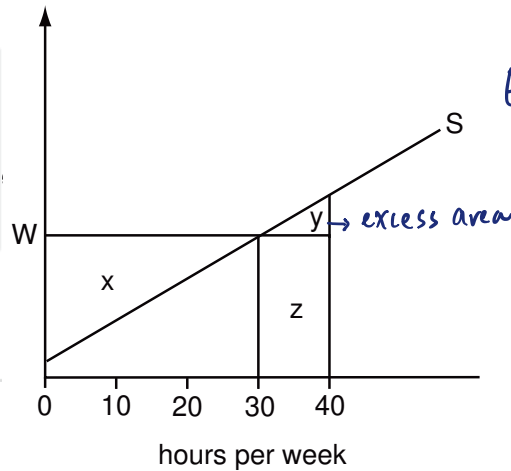
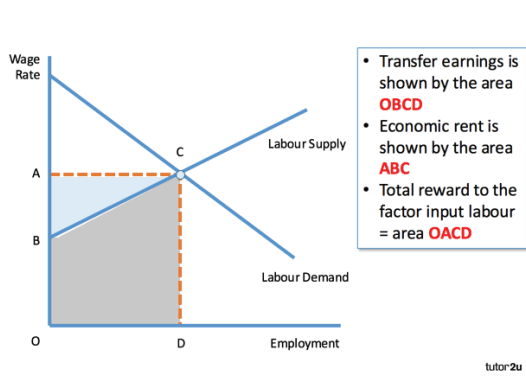
$$(101 \times 302) - (100 \times 300) \Rightarrow \$502$$

- A \$2 B \$202 C \$302 ~~D~~ \$502

7 The diagram shows a worker's supply of labour curve.

Transfer earnings are the minimum reward required to keep factors of production, such as labour, in its current occupation.

In economics, economic rent is any payment to an owner or factor of production in excess of the costs needed to bring that factor into production.



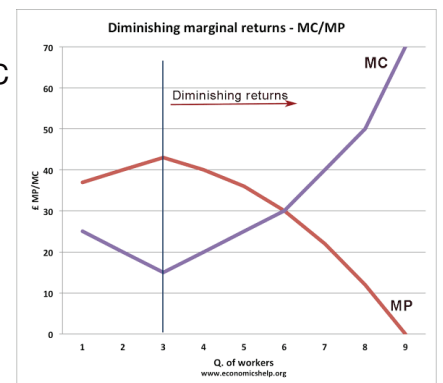
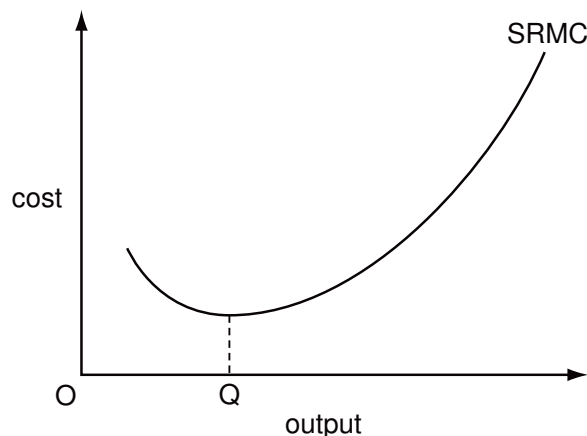
The worker is required to work a minimum of 40 hours a week at the hourly wage, 0W.

Which area measures the economic rent obtained by the worker?

- ☒ A $x - y$ ☐ B $x + y$ ☐ C $y - x$ ☐ D $y + z$

8 The diagram shows a firm's short-run marginal cost curve.

Marginal product is the extra output generated by one additional unit of input, such as an additional worker. Marginal cost and marginal product are inversely related to one another: as one increases, the other will automatically decrease proportionally and vice versa.

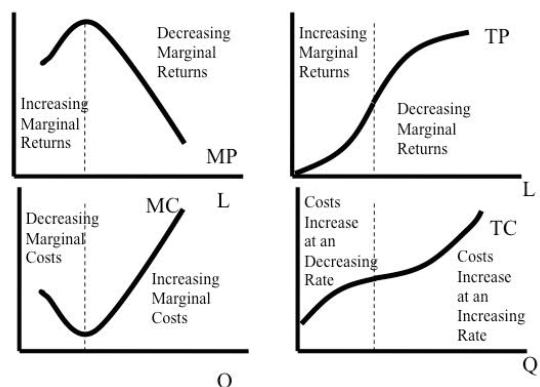


What explains why the curve is upward sloping at output levels above OQ?

- A diseconomies of scale (Long run)
B inelasticity of supply
C rising fixed costs
☒ D the law of variable proportions / Law of diminishing returns

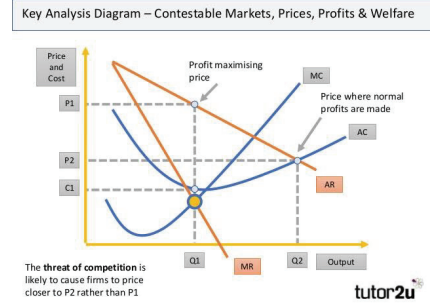
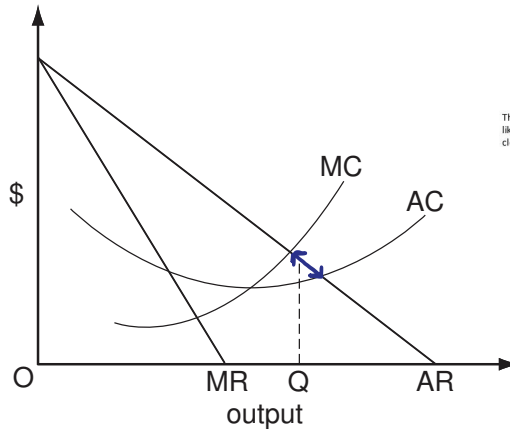
↓
Mirror picture

Relationships



- 9 The diagram shows a firm's cost and revenue curves.

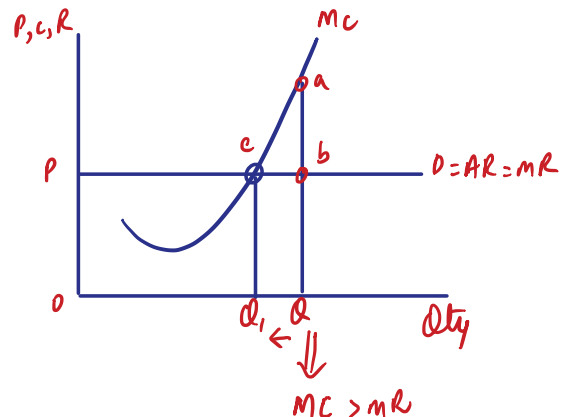
A monopoly being a monopoly can't act as a monopoly because of threat of competition as the cost of entry and exit are zero.



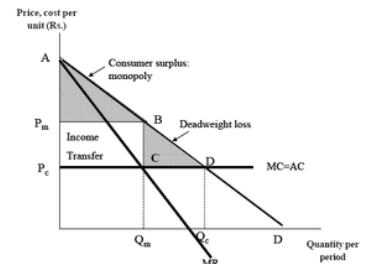
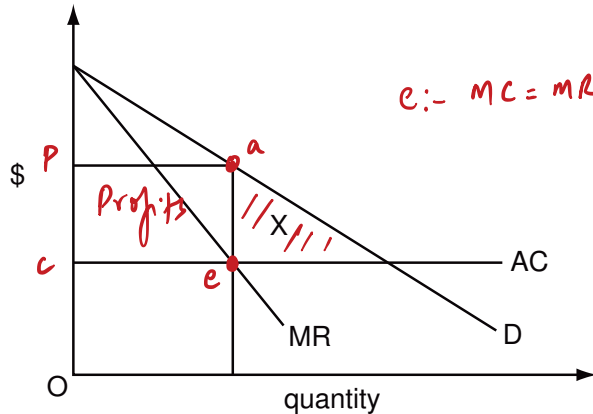
What could explain why the firm produces output OQ?

- ☒ A It is operating in a contestable market. (Profit satisfying)
- ☐ B It is operating in a perfectly competitive market. Price taker
- ☐ C It is seeking to maximise profits. $MC=MR$
- ☐ D It is seeking to maximise sales revenue. $MR=0$
- 10 A firm wishes to acquire some of the consumer surplus its customers currently enjoy.
How might it achieve this?
- ☒ A by introducing price discrimination *charging different prices to different consumers for the same product, reasons not associated with cost, it depends upon price elasticity of demand.*
- ☐ B by reducing operating costs
- ☐ C by setting a price that maximises revenue
- ☐ D by taking advantage of economies of scale
- 11 A perfectly competitive firm finds that at its current level of output, marginal revenue is \$2.00 and marginal cost is \$2.50. $MC > MR$
 $MC=MR$
If the firm is a profit maximiser, what will happen to its price and output?

	price	output
☐ A	increases	decreases ✓
☐ B	increases	unchanged
☒ C	unchanged ✓	decreases ✓
☐ D	unchanged ✓	unchanged



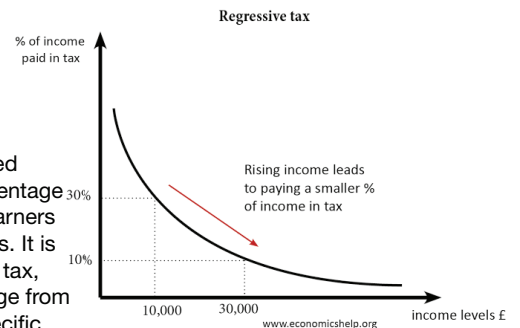
- 12 The diagram shows the outcome when a perfectly competitive market is taken over by a monopoly. *Qty ↓, Prices ↑*



What does area 'X' represent?

- A monopoly profit
B the reduction in consumer surplus
☒ C the resulting deadweight loss
D transfer earnings

A regressive tax is a tax applied uniformly, taking a larger percentage of income from low-income earners than from high-income earners. It is in opposition to a progressive tax, which takes a larger percentage from high-income earners. E.g. specific tax.



- 13 A tax is said to be regressive when

- ☒ A low income earners pay a higher proportion of their income in tax than high income earners.
B marginal tax rates exceed average tax rates.
C the cost of collecting the tax exceeds the revenue raised.
D the marginal rate of tax is higher for high income earners than low income earners.

- 14 Which is not a policy designed to correct market failure?

- A competition policy *Yes!*
B free inoculation against infectious diseases *Yes!*
☒ C minimum wage policy
D regulations to limit river pollution *Yes!*

Progressive and regressive taxes

- With a **progressive tax**, the marginal rate of tax rises as income rises. I.e. as people earn more income, the rate of tax on each extra pound goes up. This causes a rise in the average rate of tax.
- With a **proportional tax**, the marginal rate of tax is constant.
- With a **regressive tax**, the rate of tax falls as incomes rise – I.e. the average rate of tax is lower for people of higher incomes.

- 15 What is meant by 'real wages'?

- A the marginal physical product of labour (MPP) [Labour market] ($MRP = MPP \times MR$)
B the opportunity cost of labour
☒ C the purchasing power of money wages *Real = Nominal or money wage - Inflation %*
D wages net of tax

Real wages are wages adjusted for inflation, or, equivalently, wages in terms of the amount of goods and services that can be bought. This term is used in contrast to nominal wages or unadjusted wages. ... Hence real wage defined as the total amount of goods and services that can be bought with a wage, is also not defined.

Income expressed in terms of purchasing power as opposed to actual money received.
"what happens to real wages depends on changes in both money wages and prices"
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$$S + T + M$$

7

16 What is not a leakage from the circular flow of income?

- A expenditure on foreign goods *M(TE)*
- B indirect taxes *Tax*
- C undistributed profits *owner's saving*
- ☒ D unemployment benefits *Transfer payments / Government spending*

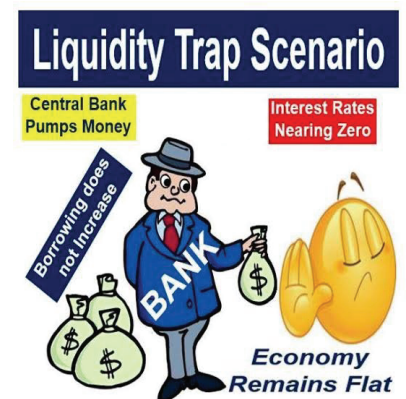
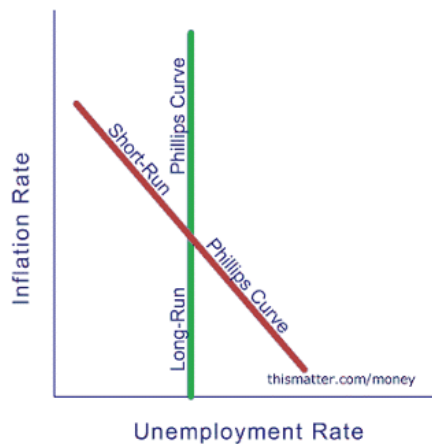
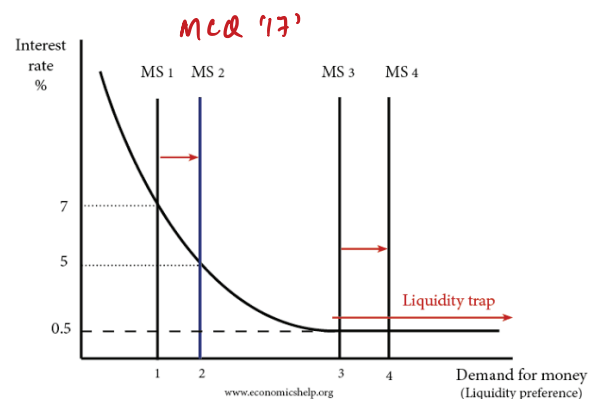
17 According to Keynesian theory, when will an increase in the money supply leave the level of output unchanged?

- ☒ A when the liquidity trap is operative
- B when the money supply increase was not anticipated
- C when there is a floating exchange rate
- D when there is an immediate adjustment to expectations about future price levels

A liquidity trap is a situation, described in Keynesian economics, in which, "after the rate of interest has fallen to a certain level, liquidity preference may become virtually absolute in the sense that almost everyone prefers [holding] cash [rather than] holding a debt which yields so low a rate of interest."

18 According to monetarist theory, what will be the short-run and the long-run effect of an unexpected increase in the money supply on the real wage level?

	short-run	long-run
A	decrease ✓	increase
☒ B	decrease ✓	unchanged ✓
C	unchanged	increase
D	unchanged	unchanged ✓



MS ↑

R ↓

C ↑

I ↑

AD ↑

Unemployment ↓

Short run

↓

when reached to full employment (LRAS)

↓

Unemployment unchanged

19 The diagram shows the relationship between consumption expenditure and income.

In economics, the average propensity to consume (APC) is the fraction of income spent. It is computed by dividing consumption by income, or Average propensity can be more or less than MPC depending upon the latter's Intercept (If MPC curve rises through origin then $MPC=APC$).

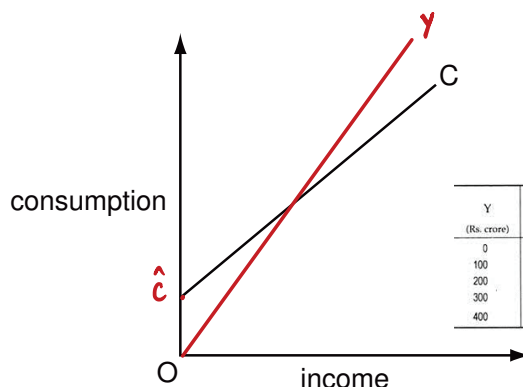


Table 3.1: Propensities to Consume and Save

Y (Rs. crore)	C (Rs. crore)	S (Rs. crore)	APC $\left(\frac{C}{Y}\right)$	MPC $\left(\frac{\Delta C}{\Delta Y}\right)$	APS $\left(\frac{S}{Y}\right)$	MPS $\left(\frac{\Delta S}{\Delta Y}\right)$
0	50	-50	∞		∞	
100	125	-25	1.25	0.75	-0.25	0.25
200	200	0	1.00	0.75	0	0.25
300	275	25	0.92	0.75	.08	0.25
400	350	50	0.88	0.75	.12	0.25

$APC > MPC$

Which statement is correct?

- A The average propensity to consume is constant. *Can't*
- B The average propensity to consume is rising. *It will reduce*
- C The marginal propensity to consume is equal to the average propensity to consume.
- ☒ D The marginal propensity to consume is less than the average propensity to consume.

20 In a closed economy with no government (2 sector multiplier)

the full employment level of income = \$400 billion

and the equilibrium level of income = \$380 billion.

If the deflationary gap is \$4 billion, what is the marginal propensity to consume?

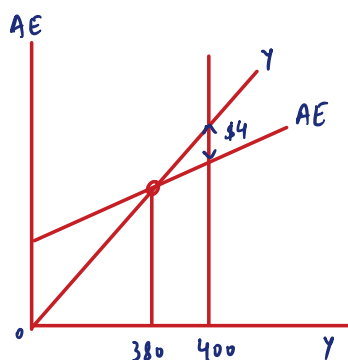
$$\frac{1}{1-c}$$

A $\frac{1}{5}$

B $\frac{1}{4}$

C $\frac{3}{4}$

☒ D $\frac{4}{5}$



$$\text{multiplier} = \frac{\Delta RNI}{\Delta AE}$$

$$\frac{1}{1-c} = \frac{20}{4}$$

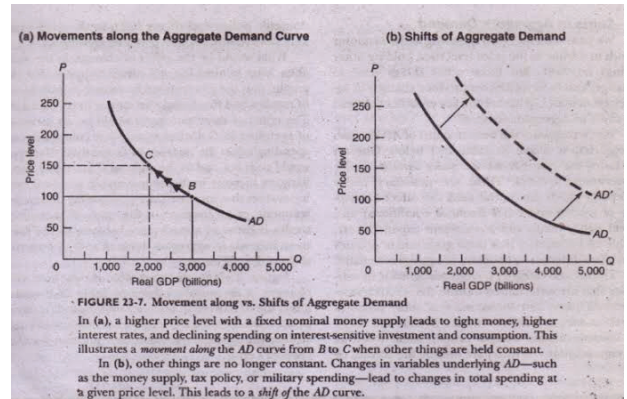
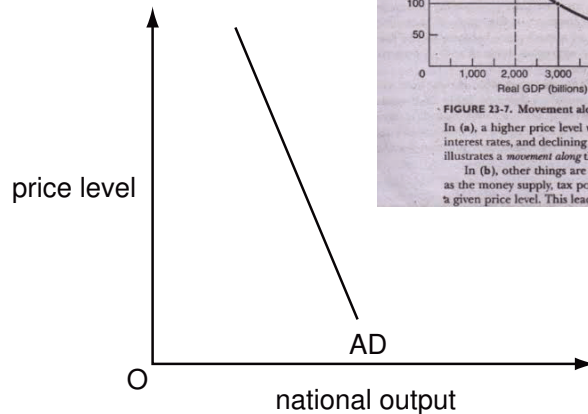
$$\frac{1}{1-c} = 5$$

$$1 = 5 - 5c$$

$$5c = 4$$

$$c = \frac{4}{5}$$

21 The diagram shows an aggregate demand curve.



What helps to explain why the curve is downward sloping?

- A When exports increase there will be an increase in national income. (shift)
 - B When government expenditure increases there will be an increase in national output. (shift)
 - C When investment increases there will be an increase in consumption. (shift)
 - ☒ D When the price level increases there will be an increase in interest rates. (movement)
- 22 An increase in the money supply leads to a fall in interest rates. What else will decrease as a result of these changes?
- A the desire to hold idle money balances *less return on bank, more idle money*
 - B the price of equities, *it will rise*
 - C the price of government bonds *(interest rate and Bond prices have a negative relationship)*
 - ☒ D the velocity of circulation of money

Money velocity decreases when fewer transactions are being made; therefore the economy is likely to shrink. Thus, it is precisely the sharp decline in velocity that has offset the sharp increase in money supply, leading to the almost no change in nominal GDP (either P or Q).

What is the Quantity Theory of Money?

The concept of the *quantity theory of money* (QTM) began in the 16th century. As gold and silver inflows from the Americas into Europe were being minted into coins, there was a resulting rise in inflation. This led economist Henry Thornton in 1802 to assume that more money equals more inflation and that an increase in money supply does not necessarily mean an increase in economic output. Here we look at the assumptions and calculations underlying the QTM, as well as its relationship to monetarism and ways the theory has been challenged.

QTM in a Nutshell

The quantity theory of money states that there is a direct relationship between the quantity of money in an economy and the level of prices of goods and services sold. According to QTM, if the amount of money in an economy doubles, price levels also double, causing *inflation* (the percentage rate at which the level of prices is rising in an economy). The consumer therefore pays twice as much for the same amount of the good or service.

Another way to understand this theory is to recognize that money is like any other commodity: increases in its supply decrease marginal value (the buying capacity of one unit of currency). So an increase in money supply causes prices to rise (inflation) as they compensate for the decrease in money's marginal value.

The Theory's Calculations

In its simplest form, the theory is expressed as:

$$MV = PT \text{ (the Fisher Equation)}$$

Each variable denotes the following:

M = *Money Supply*
V = *Velocity of Circulation* (the number of times money changes hands)
P = *Average Price Level*
T = *Volume of Transactions of Goods and Services*

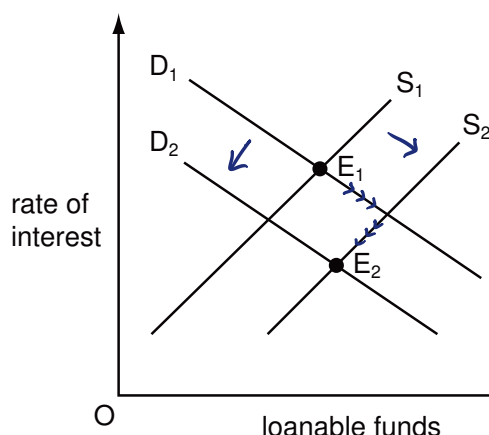
The original theory was considered orthodox among 17th-century classical economists and was overhauled by 20th-century economists Irving Fisher, who formulated the above equation, and *Milton Friedman*. (For more on this important economist, see *Free Market Maven: Milton Friedman*.)

It is built on the principle of "equation of exchange":

$$\text{Amount of Money} \times \text{Velocity of Circulation} = \text{Total Spending}$$

23 The diagram shows the market for loanable funds. (*Demand and supply of loans*)

In economics, the loanable funds doctrine is a theory of the market interest rate. According to this approach, the interest rate is determined by the demand for and supply of loanable funds. The term loanable funds includes all forms of credit, such as loans, bonds, or savings deposits.



Traditional Loanable Funds Theory	Keynesian Loanable Funds Theory (Credit View)
Money is neutral (i.e., no impact on level of output and employment)	Money is not neutral (i.e., has an impact on level of output and employment)
Banks simply intermediate	Banks have an impact on real economy
Loans market is perfect and clears	Loans market is imperfect / Excess demand for loans due to credit rationing
Government intervention not needed / Automatic stabilization / No need for fiscal or monetary policies	Government intervention needed to stabilize aggregate demand and supply fluctuations / Contractionary monetary policy can lower loan supply, but expansionary monetary policy may not be effective
Information on risk profile of borrowers is unnecessary / No possibility of default or financial instability	Asymmetric information between lenders and borrowers / Risk of default and financial instability is possible
Banks intermediate between savers and investors / Savings fund investment	Banks can (1) buy securities, (2) create credit, and (3) intermediate between savers and investors
Interest rate determined by forces of supply of (desired) savings and demand for (desired) investment	Loan rate depends on maximum expected return of banks, taking into account risk profile of borrowers and screening charges
Loans offered via bid-auction process	Loans offered based on risk profile of borrowers
Interest rate fluctuations are the key adjustment mechanism	Banks adjust size of loan portfolio rather than adjust loan rate

Which changes could cause the equilibrium to move from E₁ to E₂?

- Demand ↓ Supply ↑*
- ☒ A a decline in business confidence and an increase in bank lending
- B a decrease in bank lending and depletion of natural resources *Supply ↓*
- C an increase in the propensity to save and the discovery of new mineral deposits *Demand ↑*
- D improvements in technology and reduction in the propensity to save *Supply ↓*

24 Which feature of the Indian economy could explain why the purchasing power parity exchange rate of the Rupee is much higher than its market exchange rate?

- A high levels of duty on imported goods
- B high levels of rural unemployment
- ☒ C the relatively low price of goods not traded internationally
- D the relatively low rate of inflation
- Purchasing power parity is a way of measuring economic variables in different countries so that irrelevant exchange rate variations do not distort comparisons
- One popular macroeconomic analysis metric to compare economic productivity and standards of living between countries is purchasing power parity (PPP). PPP is an economic theory that compares different countries' currencies through a "basket of goods" approach.

25 What is likely to be the effect of a fall in oil prices on the global economy?

- increase*
- A a decrease in the rate of economic growth
- ☒ B a decrease in unemployment, *output ↑, incomes ↑, employment ↑*
- reduction*
- C a strengthening of cost-push inflation
- D a weakening of demand-pull inflation *strengthening*

26 What is an unavoidable cost of long-run economic growth?

- A an increase in inflation
- B an increase in the working hours of the population
- ☒ C a sacrifice of potential present consumption (Opportunity cost)
- D greater inequality in the distribution of income

27 What could be expected to increase the pressure of demand-pull inflation in an open economy?

- A an appreciation of the foreign exchange rate *Appreciation, X prices ↑, M prices ↓, BOT deficit, AD ↓*
- B an increase in indirect taxes *cost push inflation*
- C an increase in interest rates *R ↑, save ↑, spend ↓, C ↓, AD ↓*
- ☒ D the imposition of import controls, *Expenditure switching policy*
↳ M prices ↑, M (TE) ↓, C ↑, AD ↑, prices ↑

28 When will taxes be most effective in dampening cyclical changes in national output?

- A when the tax yield is independent of national income
- B when the tax yield varies inversely with national income
- C when the tax yield varies less than proportionately with national income
- ☒ D when the tax yield varies more than proportionately with national income *Progressive nature*
aim:- Redistribution improves (Rich to poor)

29 The government of a country decides to increase the proportion of its tax revenue it obtains from direct taxes and to reduce the proportion it obtains from indirect taxes. *⇒ Regressive ↓*

What is likely to be the impact on the distribution of income and on work incentives?

Progressive ↑
↓
dis-incentive
↓
Tax evasion

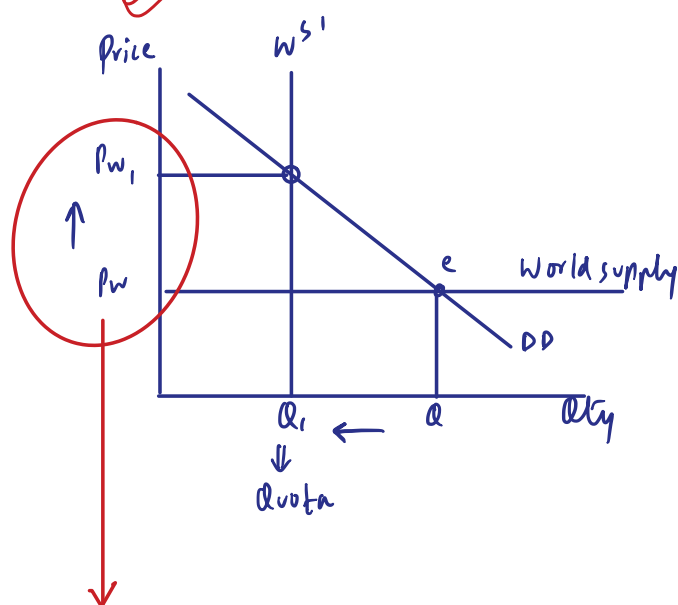
	distribution of income	work incentives
A	less equal	decrease ✓
B	less equal	increase
☒ C	more equal ✓	decrease ✓
D	more equal ✓	increase

30 A country introduces import quotas. (physical limit on the qty of goods imported)

The suppliers of imported goods charge market-clearing prices.

Assuming the demand for imports is price-inelastic, what will be the impact on the country's balance of trade and on its terms of trade?

	balance of trade	terms of trade
A	improves	improve
B	improves	worsen ✓
C	worsens ✓	improve
D	worsens ✓	worsen ✓



Quota raises prices $\Rightarrow$ $M_{prices} \uparrow$

Inelastic demand

$M(TE) \uparrow$

BoT worsen

TOT worsens

$$\frac{\uparrow \text{prices}}{\downarrow M_{prices}} \times 100 = TOT \downarrow$$

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